

# ***The Social Radars***

## **S3: Dan Siroker, Co-Founder of Limitless & Optimizely**

**Released July 17, 2024**

Jessica: I'm Jessica Livingston, and Carolynn Levy and I are The Social Radars. In this podcast, we talked to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories. Carolynn, I'm so excited. Today, we have Dan Siroker on the show.

Carolynn: Hi, Dan.

Dan: Hey, thanks for having me. I'm a big fan of the podcast.

Jessica: Oh, thank you. Well, we are so excited to talk to you. Just for our audience, Y Combinator funded Dan in winter of 2010 with his company, Optimizely, which was an AB testing company. Then he went through Y Combinator again with a nonprofit that he had in 2018.

Now, in 2020, he started Rewind AI, which has just very recently been rebranded to Limitless, and it's personalized and wearable AI. Quickly, Dan, tell us about Limitless. I'm going to go way back, though. We're going to start at an earlier point, but can you tell the audience what Limitless is?

Dan: Yeah. Limitless is a personalized AI, powered by everything you've seen, said, or heard. The basic idea behind it is that large language models are incredibly powerful today, but it knows very little about you. If you're able to capture everything you see, everything you say, everything you hear, that's amazing context to give the large language model the ability to personalize responses to you.

One example is if I wanted to draft an email to Sam Malman, one of our first investors, instead of starting from scratch, I could just ask our product, "Draft me an email to Sam Malman, asking to catch up," and it uses the context of our past. It knows that we were introduced in 2010 by Paul Graham. It knows that he was an investor in Optimizely, an investor in Rewind, and all of that context gets used to create a draft of an email. That's just one of many examples of how using the context of your past can help make AI more personalized and more valuable.

With Limitless, we're now doing that, very similar to how we had it with Rewind. Rewind was a native Mac app, but Limitless is actually doing this in the cloud. We've done a lot of innovation there around confidentiality and privacy to make you more comfortable willing to capture all that data. Ultimately, that gives you a ton more value when you want to use it to provide context to a large language model.

Carolynn: It's not an LLM, it's a little language model, because it's just your stuff, right?

Dan: It is actually a combination of your stuff and the world's best LLM. We actually kind of benefit magically from anytime GPT-5 comes out, our product just automatically gets better. You can think about the context as basically, if you were to ask ChatGPT a question, and right before asking the question, you just give it paragraphs and paragraphs of context, it can do a much, much better job answering your question.

For example, write me an email to Sam Malman, asking to catch up. If you just wrote that, it won't know who you are, who Sam Malman is, might know who Sam is, certainly won't know who I am, but it doesn't know that context of your past. This is typically called RAG, or Retrieval Augmented Generation, and we just do that on steroids, because we have all of this context of your past.

Carolynn: Right. It's getting all the information about you, though. All that context is coming from your own personal email archives, and all your stuff.

Dan: Exactly, all your stuff, yeah. We really feel like our value add is helping you capture all that context. That's why we built a wearable, we call it Dependent. You can wear it's very lightweight, and it captures conversations in a very privacy-sensitive way that then you can go back to later if you want to use it for context in large language model requests.

Carolynn: Oh, I have all kinds of legal questions.

Dan: Sounds good. Yeah.

Carolynn: How do you get... Yeah, we don't want to go there. We don't need to go there.

Jessica: Well, we do want to go there, but I have to go a little bit in order. That's the way my brain works. We're going to come back to all the fascinating stuff with Limitless and its predecessor, Rewind AI. First, Dan, I want to go back to when you worked for the Obama campaign, director of analytics in the campaign.

You had been working at Google, and Obama came to give a talk. You were so inspired that you quit your job and moved to Chicago to volunteer for the campaign. Tell us about what was going on at the time, what was novel, and what was surprising, and what did you do there?

Dan: Yeah, it was an amazing experience. I highly recommend everyone do at least one major political campaign in their lives. I only think you can really do one, because it's brutal. It is absolutely brutal. We were working, we were up till 1:00 AM, back in the office at 7:00 AM seven days a week. I had gained, over the length of the campaign, this is not selling it, but I had gained 50 pounds, 5-0, over the entire campaign, because it's just so brutal. I ate pizza every night, but it was the best and most fun experience of my life.

I had grown up in Palo Alto, I went to Stanford, and then I worked at Google in Mountain View, so I was really in a bubble. I grew up in the tech bubble, and so leaving that to go

to Chicago, to be around people who are smart in a way I'd never encountered before, really politically smart, really just quick-witted, and just not at all into technology, that was a huge, huge eye opening experience. For me, I was kind of a fish out of water.

I was inspired by, like you said, his talk at Google about how we wanted to take what we're doing at Google with evidence, and science, and feedback, and data, and bring that to government. At the time, he was third in the polls, so he was behind Hillary Clinton and John Edwards. It's hard to remember back those days, it was 2007.

Carolynn: Yeah, wow. Oh, my god.

Dan: The funny thing is, he said at the end of his talk, this is what a lot of politicians do that do the sort of circuit around these companies, the end of his talk, he said, "I want you to be involved," which is kind of a euphemism for, "Donate to my campaign." I don't think he literally meant drop everything, fly to Chicago, which is what I did. Two weeks later, I flew to Chicago and signed up as a volunteer.

At the time, like I said, I was kind of a fish out of water. I don't really know how I could have an impact, other than taking what I'd learned at Google. At Google, we were just super data-driven, AB tested a bunch. The campaign wasn't doing it at all. What I introduced was this concept of AB testing. Fortunately, there was a very receptive culture to that, because we were third in the polls. Had we been the front-runner, I think doing something new and different, like using data to make decisions, wasn't really going to be that well accepted.

David Plouffe, the campaign manager, wrote later in his book that he viewed the campaign at that stage as with a risk/reward mentality. If we just did everything everyone else did, we would end up third. We had to take risks. Believe it or not, one of those risks was, instead of just relying on what some grizzled veteran in the corner thinks should be on the website, let's try a test. The first test we did was so amazing. I'll just briefly tell you about it.

We ran an AB test on the very first thing you see when you go to BarackObama.com. At the time, most people actually didn't know about him. This was right before the Iowa caucuses. He hadn't won those, but that was really what catapulted a lot of his fame. We wanted to see, what was the most effective way to get people to sign up with their email address? We ran a test. In fact, the goal of the test was actually to prove how smart our team was at this small little New Media team. That's what they called us, New Media. It wasn't even called the tech team or digital, it was New Media. It's everything that wasn't TV or ads.

Anyway, long story short, one of the guys on our team, Sam Graham-Felsen, made this beautiful video. It was like this montage of Barack Obama speaking in 2004 at the Democratic National Convention. It's a beautiful video, and the goal of the test was to prove how smart this video was. Just as a whim, we threw in some pictures. We threw a picture of him very presidential, another really casual one of him with Sasha and Malia and Michelle, black and white photo in a kind of backyard.

The test blew us away. All of the videos did worse than all of the images, which now in hindsight makes sense. Someone watched a video, the first thing you do when you come to the website, and this very casual, non-presidential picture of Barack Obama did amazingly well. We actually-

Jessica: The family? The family one?

Dan: The family photo one. Yeah, the family photo, it converted so much better than the rest. We actually measured at the end of the campaign, the impact, just on that one test alone on incremental donations from the people who signed up because they saw that variation. It was a \$10 million difference, just that one test.

Jessica: Wow.

Dan: That was what opened my eyes. That opened the campaign's eyes to AB testing. We had a much more data-driven objective view. We just wanted to win. Whether it was my idea or your idea, it didn't really matter when we saw the results like this. That ultimately propelled me to start optimizing when I saw the value in AB testing.

Jessica: Okay. Wow, that's incredible.

Carolynn: Do you have any idea if the other two candidates were doing anything like this? Now that all this history, have you ever connected with any of those people? Like, "Hey, were you doing this too?"

Dan: Yeah, yeah. They were not. It was actually such, we knew at the time that what we were doing was new and different, and the only reason they even were open to the idea was because of we were being third, and we were that kind of underdog, which is maybe why startups often beat, it's kind of the classic innovator's dilemma, like the Hillary Clinton campaign, they were first in the polls.

Last thing they wanted to do was rock the boat and do something weird, like put a casual photo of Hillary Clinton on the website. She wants to look presidential. That was the perceived idea. Yeah, it wasn't until 2012 when I think a lot of what we had done in 2008 became popular that a lot of campaigns started doing what we're doing. Yeah, 2012, it really became very common. In fact, Optimizely was a product almost every campaign used, even Republican campaigns.

We did not prevent Mitt Romney from using the product. We tried to be kind of apolitical about that, and it became much more popular since then. Now, of course, every campaign is super data-driven. It's kind of crazy to think that that was the time where they weren't.

Jessica: Yeah, not that long ago. Imagine how bummed you would've been if you had quit your job at Google, moved to Chicago, and they were like, "Oh, yeah, we don't want to do all this stuff," like not interested in what you had to offer. I think you would've felt very hamstrung.

Dan: It would've been really hard, because I didn't know at the time how to deal with politics. Believe it or not, political campaigns are political. I look back, now, I've got more experience, I look back and I actually can pinpoint certain moments where my boss, who's the head of New Media, brilliant guy, used me as a political pawn. If he wanted to win a political fight, he would take me as his sort of minion to a meeting with our COO, against the traditional media folks, the folks doing these big fat cat conference room, in-hotel fundraisers, and I would be basically the foil.

For example, this is so crazy to think about. We had this endless debate, should we have bumper stickers on cars or car magnets? It was an endless debate. Bumper stickers or car magnets? At the time, bumper stickers, like an incentive to donate, at the time, bumper stickers were very popular. We were advocating car magnets, and a big reason why was at the time, it wasn't clear he would win. A lot of people supported Barack Obama, but if you're not sure he's going to win, do you want to permanently affix adhesive to the back of your car, or a magnet that you might be able to take off?

Again, an AB test validated this and sort of showed it was much, much more effective at getting people to donate. The traditional old media people, they had no data. When you come to a fight, one person comes with intuition, one person comes with data that's statistically significant, it's hard to win if people aren't being level headed.

Carolynn: Yeah, yeah. Wow.

Jessica: I love it. Okay, so then good news for Obama, good things happened with him. You go back to Silicon Valley, and is that when you link up with Pete Koomen, your friend from Google, and you started CarrotSticks?

Dan: That's right. We teamed up. I had always wanted to start a company with Pete. I had sort of taken a pause from that to go to the Obama campaign. That really wasn't in my plan. I was not at all political-minded. I didn't study political science. I just fell in love with the candidate. I was like, "All right, I want to help if I can," and just luckily, there's a thing I could do to help the candidate. It was funny.

After the campaign, like I said, I gained 50 pounds. I was so burnt out. If you think startups are burnt out, people do startups knowing there's probably no end in sight. You're going to basically do a startup for a long time, so you have some sense that it's a marathon. A campaign, there's an end. November 4th was going to happen, so you really did everything you could to just get everything you could get done by then.

The day after the campaign, I was just burnt out. I sort of reluctantly decided to accept a job as the deputy director of the presidential transition. This is this weird, pseudo-government entity between the campaign and administration. Basically, between November and January, we're figuring out, how do we run a country, let alone a campaign, which is very different? I remember going to, I had to get a suit the night before. I went to all these meetings where people thought I was some important official, but I had, my pants legs weren't hemmed. I had to roll them up like a little kid. It was embarrassing. Anyway...

Carolynn: Scotch tape hemming.

Dan: Scotch tape, yeah. In fact, one of the most embarrassing, just a quick story there, one of the most embarrassing moments was I didn't realize how influential this transition team was to people in DC. I'm not from DC, I don't understand. DC, it's all about who you know, and access to power, and everybody wants to be the deputy, the secretary, to the chief of staff to whatever. I didn't care about any of that stuff.

I would show up at these meetings kind of like I would at Google, just sort of winging it, mostly. I went to this one meeting, I think it might've been the Electronic Freedom Foundation, or something like that. They had 20 people in the room to meet with just me. I had forgotten a notebook and pen, so I had to convince them I had a photographic memory. Then I was remembering all the things they wanted. They're asking all these things... Super embarrassing.

Anyway, I hope they never watch this and realize I was a total noob. Anyway, long story short, I realized that government wasn't for me. I helped, there was a job they offered me in the White House I turned down, and I helped somebody else in Silicon Valley get that job, and decided I wanted to go back to where I actually thought I could have a bigger impact. I thought by starting a company, I could have a bigger impact. That's always been what motivated me, and I knew that for a large part, the stuff we wanted to do from the campaign were going to happen whether I was there or not.

Anyway, went back to California, tried to convince Pete to leave Google. That was tough. This is the time that Google was doing these golden handcuff deals, right around, they're losing a lot of people to Facebook. Pete and I didn't grow up particularly well off, so any amount of money was pretty amazing. Anyway, I felt very lucky. I convinced Pete to leave. Our first idea was CarrotSticks, an online math game for kids. We were way out of our depth there.

Carolynn: Wait, why did you pick that?

Dan: The way we decided how to pick that idea was that the classic mistake that founders make, which is, I want to do a startup. Now, let me figure out what to do. We actually stole a whiteboard from Google and brought it into my apartment, and just whiteboard-ed ideas. We went down, we had a hundred ideas on a whiteboard, and all of them are classic tarpit ideas, like really, really bad in hindsight. We just didn't know. We didn't know how to come up with good startup ideas.

Jessica: You didn't have kids, you weren't parents, and you weren't teachers, and you started this company for kids.

Dan: Exactly. That was the biggest mistake. Yeah, that was the biggest mistake is we weren't any of the people for whom we were building. Had we been any one of those three, I think it would've been much easier. In hindsight, what we're doing is endless debates around, should it be more pedagogical or more fun? We made lots of bad technology decisions. We built it all in Flash when the iPad came out.

We did all these really dumb things, and what we realized quickly was YC is very famous for making this a common adage now, building for yourself is so much easier than building for somebody else. Our biggest challenge with CarrotSticks was getting distribution. Our next idea was Spreadly. It was this idea, that's actually what we applied to YC with. It was a way to incentivize our users to spread the word about the product.

We're like, "Oh, that's a product we wish we had. Boy, it'd be so much easier to spread CarrotSticks if our users did the virality, the spreading of the news." Yeah, anyway, I can get into how we got into Optimizely, but yeah, very quickly realized it's much, much easier to build for yourself than for somebody else.

Jessica: You apply to YC. I remember the interview. I remember it was very clear, these guys are, yes, and you get in with this idea, but then you pivot it during YC, right?

Dan: Yeah, we did. We pivoted during YC, and it was a combination of factors that led us to that decision. The very first one, actually, I remember being in the office in Mountain View. The very first day of the batch, all the companies there, I don't remember how many, it was maybe 30 companies or something, 40. PG starts the talk by like, "Hey, you got all the stats. This is the acceptance rate and all this stuff," and said, "Oh, and by the way, in this batch, we have two companies doing exactly the same thing."

Carolynn: Oh, no.

Dan: Me and Pete were like, "Oh, I bet that's us." It was us. There was another company with the same idea. That was one small factor. Then the other was just the dynamics, the sort of underlying model didn't make sense. Basically, what we're doing was incentivizing people with either donations or cash back to spread the word, but the social capital to spam your friends was always greater than any incentive we could offer as a third party. Just the model didn't work.

That was kind of the headwind. Then the tailwind was this really basic idea, like, "Wow, it was so much easier to build a product for ourselves than for somebody else. What are other ideas that we would like to do that fall in this class?" Now, enough time had passed, by the way, what I didn't mention is after the campaign, I had told myself, "I will never do anything analytics-related again. I'm done with AB testing, I'm done with analytics. It's dead to me."

I went to Hawaii for a week, just swearing off anything analytics-related, but now, enough time had passed, I'd forgotten what I'd sworn to myself. Over a weekend, I sort of had this epiphany that, "Wow, if I just built a product I wish we had on the campaign, that solved all the problems with the status quo products we had used, that would be hugely valuable. Not just for the campaign, but for other companies." I did that over the weekend.

On a Tuesday at the dinner, I showed it to PG, and immediately he said, "Forget that other idea. Do this. This is AB testing for marketers." Then he went off, and one of the things he does, he still probably does this, he tried to find a good name for us. We went

off to Instant Domain Search and started looking for names. That's a whole other story, how we picked a name.

Jessica: Oh, he still does that for sure.

Dan: Yeah.

Jessica: He helped you find Optimizely. I have a vague recollection of this, like at the dinner.

Dan: Well, at the dinner, we did a search. We actually did an AB test of the names. I highly recommend this, by the way. We bought AdWords, eight different names for different domains, exact same copy. We knew the tagline would be something like, "AB testing you'll actually use." We knew it was, let's go after the Adobe audience, the people who have been promised all this value in AB testing, but never really saw the return.

Then we tested it, and Optimizely and I think one other, like ContinuousAnalytics.com did about as well. We liked the ring of Optimizely. There's a lot of .lys then, so that's why we chose the name. Yeah, I think he helped us brainstorm some of the ideas we tested.

Carolynn: I was just going to say, I feel like there was a long phase where everyone put L-Y at the end of some word that didn't even really match with an L-Y. Optimizely actually rolls right off the tongue. I think that's a great name.

Jessica: Yeah.

Carolynn: Spreadly...

Dan: We liked it a lot. We liked it a lot.

Carolynn: Spreadly, not so much.

Jessica: You guys were basically then off to the races. You were clearly fulfilling a need for people. You knew exactly what you were doing. You were very good technically. What else happened that winter that stands out?

Dan: We really learned how to focus. I think that's one thing YC really teaches founders well. It's in that period of time, it's actually, we're recreating that now, a lot of that in our current company, which is this very subtle social dynamic of kind of having to present to your peers every week. We wanted to show up to these dinners, showing that we'd made progress. Just that alone, it wasn't even telling us, people telling you, you can't really tell a founder what to do.

A lot of YC effectively is like a Jedi mind trick. How do you get people to do something they should do, without overtly telling them? They'll bristle at that, because they bristle at authority or whatever. We do that kind of now today at Rewind and Limitless. We have weekly product reviews, where people, all of our engineers present to their peers,



and I'm there to hold them accountable and give them feedback. It's the same thing YC did, which is this weekly cadence of progress.

We also were a bit burnt. We had been burnt. I think honestly, me and Pete, having been associate product managers at Google, and studied computer science at all these fancy schools, we were a little arrogant. We thought, I remember even thinking, "Do we even really need YC?" How dumb that would've been to turn down YC. Only through the failed experience with CarrotSticks, and then sort of the pseudo-failed experience with Spreadly that we realized, "Boy, we really got to get our act together. This whole entrepreneurship thing, this is not just a cakewalk. You actually have to deliver something that people want."

That was something we really took from the entire batch and the YC experience. It humbled us more than anything, which is something you need. You need to be humble if you want to really build something people want.

Jessica: Okay, so you're off to the races, and you do fundraising. I have down a note: mock board meetings. Tell us about this.

Dan: Yeah. Well, Fundraising NYC was actually really relatively easy, because I think we were doing well in the batch, we had a lot of traction. We actually had our first paying customer for Optimizely before writing a line of code. We made the mistake with CarrotSticks, oh, just to sit around in my one bedroom in Soma, and just write code. Then six months later, let's try to get a user. With Optimizely, it was the opposite.

I actually, before even writing this line of code, before demoing it to PG, I called up Andrew Bleeker, the former head of online marketing at the Obama campaign, who had now started an agency. I just started riffing with him, said, "Hey, what do you think about an idea? Super easy AB testing. You don't need a developer, a visual editor, or real-time results." He actually thought this was a sales pitch, not a customer at all.

He's like, "Oh, great, how much does it cost?" I said, "Well, we haven't built it yet." "Well, just let me know. Is it, I don't know, a couple hundred, thousand?" We started billing him \$2,000 a month from the very beginning, just as a design partner to help build a product. He was so in love with the problem we were solving. Anyway, that helped us propel. We got a lot of traction. We had done this work. Also, very fortuitously, we were able to help the Haiti Relief Fund. There's an earthquake in Haiti.

That was one of our first big customers. We helped them raise over a million dollars, we did it all for free, but we helped them raise over a million dollars in additional donations for the earthquake relief. That actually got the attention of Ashton Kutcher, who then ended up investing because of that. Anyway, yeah, fast-forward, our Series A is when we did the mock board meetings, that's where we had a lot of traction. We were trying to figure out, do we even want a board?

We invited, I think, all of the finalists, I think it was maybe four top tier investors to sit in a three-hour meeting with me and my management team to do board meetings. For us,

also just practice. The great thing is it was like an AB test again. It was the exact same content for each person. They didn't know what other people had said, but we had seen, and we could just compare apples to apples, what are these people like in the board meetings? Which usually, you don't see.

When you talk to a Series A investor, you get all of the sell. It's them taking you to the fancy dinners, and to the basketball games. You don't actually know what they're like in a board meeting until you do that. I recommend that. Not many people have done it since, I think, but I recommend, if you have the clout, do a mock board meeting.

Carolynn: That's like a beauty contest. You had a beauty contest for board members.

Dan: Yeah.

Carolynn: That's hilarious.

Jessica: You chose Peter Fenton, right?

Dan: That's right. Yeah, yeah, yeah. We chose Peter Fenton. He stood out really well in this.

Jessica: Benchmark.

Dan: Yeah, and Benchmark. Yeah, he was one of the few. What we notice in these board meetings, oftentimes, especially because they're mock, oftentimes people, and they do this now, even regular board meetings, people just wanted to show off how smart they were, where what Peter really focused on was he really wanted to focus on asking the right questions, not having all of the answers. That really stood out.

Also, I think very much like YC, he could, in that meeting, we could tell, had the same kind of Jedi mind trick, where he could, in just a few comments, without telling you what to do, sort of open your eyes to what the actual problems were, like what the main thing was. Whereas often, if you don't have that sort of subtle touch, you can actually kind of put people off to what probably is the right thing to focus on. That was something that stood out. I remember this was over 10 years ago, but I still remember that meeting.

Jessica: Oh, wow.

Carolynn: Can I ask a quick question? We love a good Ashton Kutcher story. Do you have one?

Dan: Yeah, I do. This is also a little bit of an embarrassing story. We had done demo-

Jessica: Even better.

Carolynn: I was going to say.

Dan: Even better. It's embarrassing for me and for Pete, so sorry, Pete, but it's just too funny. I can't not say it. Pete, who, by the way, is now a YC Group partner, so you get to make fun

of him if you see him, if you heard the story. Both Pete and I have never met anybody I think as famous as Ashton. We had no idea how this works. We went in with very low expectations. What had happened is Ashton was actually at demo day, he saw our pitch. He saw the work we'd done with the Haiti Relief Fund.

A day or two later, he invited us to breakfast. This was at the Four Seasons in East Palo Alto. Pete and I are in the car, we get there early, we're game planning. Pete says, "Okay, Dan, let's not eat any food. Let's just go there. We're not going to eat. We may just be one of 10 meetings." We were just so sure that this was not a real breakfast meeting. Let's just not get any food. Could be really awkward if we have to move on, another startup comes in.

Pete insists we're not going to eat any breakfast. Anyway, so we get there, we show up, we get there early, and he shows up, and really great, very friendly, very casual, and comes around, and the waiter asks what we want to eat. First goes to Ashton, and he orders everything. He orders pancakes, he orders waffles, he orders bacon, all the sides. Then it comes to Pete. Pete looks at the menu, and he orders a fruit salad, just one fruit salad for the two of us. That was what we ate: one fruit salad for just the two of us, while Ashton is-

Carolynn: Oh, my god.

Dan: ... Scarfing down 2,000 calories of breakfast. That already put us on till. For the whole breakfast, I'm just thinking to Pete, let's just be normal and eat breakfast. Why are we just eating, and we're just picking, picking up fruit.

Carolynn: It's so silly.

Dan: It's one every five minutes, eating a little bit of fruit. Anyway, and then the second embarrassing part was it was just him for a while, and then Demi comes down, his wife at the time, and she joins us. Of course, we're starstruck by her as well. We're both just totally, not in a great head space. Right at that moment when she sits down, Ashton asks us, "Oh, so who is your first big paying customer?" Pete says, "Oh, it was actually a vibrator company." I'm like, "Okay, that was an interesting one to mention." Demi's like, "Oh, okay, cool. How are they using it?"

He was totally, totally fine with it, explaining how they used it to do conversion on the online store. Then maybe a couple minutes later, Demi goes, "What was the name of that website again?" We were just totally, we just didn't know what to say. It was, yeah, it was very awkward. Anyway-

Carolynn: You told her.

Dan: ... We've lived and learned. That was a good experience. We told her, yeah, yeah, we told her.

Carolynn: Okay.

Jessica: Oh, that is so funny.

Carolynn: That's pretty funny.

Jessica: Oh, my gosh, a vibrator company. Okay. Do you have any interesting stories from Optimizely that people could learn from?

Dan: Yeah, I think the biggest lesson I had was if I look back at Optimizely, and ask myself what did I learn most, or what do I regret most, it really falls into one consistent pattern. My gut says we should do A, somebody else thinks we should do B, a board member, executive, et cetera, and we do B, and it turns out poorly. There's plenty of times I went with my gut and it turned out poorly, and I don't remember any of them.

All I remember are the handful of times when I went against my founder instinct around a decision we had to make. It wasn't because I was steamrolled. It was like, I said, "Okay, I hired this fancy executive with 15 years experience at Salesforce. Clearly, you must know something that I don't know." When I went against my gut and it turned out poorly, and then often, that person either got fired or they left the company, and I'm left holding the bag after.

You hear this in some of your interviews with folks, where I think Brian Chesky talks about this, where it's just like, you're still going to be there. You're ultimately going to be accountable to the outcome. Those were the things I regret most. I do think I'm very proud of Optimizely. We sold it for a great outcome, but could have been so much more because the core of what we're doing was so special. It was those moments when I went against my gut that I really regret.

Who knows? There's probably plenty of times I forgot where I went with my gut and it turned out poorly, but the ones I really regret are the ones where I went against my gut.

Jessica: That's very good advice. I love hearing that. I do a lot of things based on my gut, and sometimes I don't trust it. It's good to know that you should always trust your gut.

Dan: You'll sleep better at night, for sure. Yeah.

Carolynn: I'm curious, did you have a moment? We're talking about basically a 10-year journey here. At what point did you sit there, if this happened, and I'm assuming it did, you're like, "I'm ready for a new startup." When did you get the startup itch?

Dan: Throughout the journey of Optimizely, it started in the phase of sort of just wanting to make something work. We had these two failed startups before, and we didn't really think much about the future. We just wanted something to work. By trying to get something to work, we were really short-term focused. We really didn't think too much about it, I didn't think personally about my future too much.

Once it started to work, and really, I started the company trying to build the product I wished we had in the Obama campaign in 2008. Really, it was like 2013, we did that.

Three years in, we had unequivocally, we were beating Adobe, we're beating Google Website Optimizer. To be honest, I kind of fell out of love with the company. We were growing quickly, so we had a lot of people, a lot of people issues, probably hired way too fast. A lot of the culture that had come in from outside companies, that wasn't the kind of culture I wanted to be a part of.

If I'm really being honest, I fell in love with the company first around 2013 when things really started to work. Then eventually, I really started to feel trapped. I felt trapped because I felt obliged to keep going. I was the founder of the company. By the end, by the time we sold, I was pretty burnt out. I was resentful. I felt trapped, a lot of dynamics there that I should have done a better job of. I played the victim in a way I really shouldn't have. I was the founder. I could have made the changes that I think we should have made, and I probably was the only one who could have, but ultimately, it wasn't...

I look at some of the other interviews you had with founders who had that, who were able to mid-startup reinvent themselves. I think Brian talks about this again in the Airbnb part two interview, and I just didn't have the energy to do that. By the time that we sold the company, I was like, done. I sort of burnt myself out. What had also happened is I had this grass is greener phenomenon emerge when I started to lose my hearing. In my twenties, I started to lose my hearing, and when I turned 30, I tried a hearing aid.

It was a genetic condition that caused it, so I tried a hearing aid and it was magical. I had lost my hearing, and I gained it back again in an instant. Ever since that moment, I had become obsessed with finding ways that technology can augment human capabilities and give us superpowers. That's what it felt like to get your hearing back. It felt like a superpower. That was always nagging at me. That was the thing that was nagged at me.

That's why I started the Mind Emulation Foundation, that's why I started what now is Limitless, was that feeling of desire to create technology that gave us superpowers. That wasn't there really for Optimizely. Those are all the push and pull that ultimately got us to sell the company, and for me to start a new company.

Jessica: I'm sorry, I should let this go, but I've got to just drill down quickly. You felt trapped, resentful, and burnt out. What do you think the number one contributor to that was? The culture, the people issues?

Dan: It was, oh, certainly the people issues, by far. The people issues were the symptom, the underlying issue was probably deeper. I think I probably had two or three executives I had hired who really set me back and set the company back. There are people who were just from a different culture, very command and control, who didn't trust or believe in me, which also made it very hard.

Basically, one pattern with me and executives, that every time would turn out poorly, would be the person would join, they would have a great resume. They've done well in their past, that's why we hired them. The first time I would give them feedback on something, they would be defensive. That was always the beginning of the end, because if they're defensive, and by the way, I grew up in a household where we had a lot of

conflict, it was very hard. I never grew up learning how to embrace and deal with conflict.

As a CEO, I have to overcome a lot of childhood trauma to really be the CEO you need to be, which is being honest and being candid. If the response is defensiveness, or denial, or bargaining, then it just shuts me down. I'm not good at giving feedback to somebody who's defensive. Then they don't get feedback, and six months goes by, and they're going off on some tangent, and then we ultimately part ways. That was the core of a lot of the things that let me down.

I also think that I should have been more selfish, not selfless. I thought my job as CEO, and this is something that they then taught people, and now I think has come back, is I thought my job was to hire great people and get out of the way. Hire somebody, empower them. Instead of delegating things to my executives, I was abdicating them. I wasn't actually involved enough in the things that I was good at, product, engineering, design. I actually ended up hiring great executives there, because I knew that stuff.

I ended up having to spend all my time on this stuff I wasn't as good at: sales, customer success, and marketing, and that was also very draining. Had I done what Lou Cerny and some of these other founders have done, which is like continue to code, continue to build, I think I would've been much more fulfilled and willing to just keep powering through. I have a very high pain tolerance, but it was a combination of bad executive hires, which I blame myself for, I hired them, and not willing to do the things that gives me energy, that ultimately led to, I think, that state of mind.

Jessica: Oh, that's very interesting.

Carolynn: Yeah, I agree.

Dan: If I had to give advice to any founders who feel this, who might be in the stage now, either early ceiling, or something about that resonates, my biggest advice is don't play the victim. You are the founder of the company. You probably have control of the company. If you are feeling that, you have complete agency and autonomy to change that. You should not continue to persevere, feeling like you're a victim in that. Change something.

You might think that your board wants you to keep doing what I just described, hire great people, get out of the way. They probably want you to stay engaged and excited, that they know that the company's only going to be a huge success if the founder is as excited on year 10 as they are on year 20, as they are on year 30. Don't be selfless, and be selfish. Try to figure out, what is it going to take for you to want to be at your company in 10 years?

Jessica: I love that advice. I love that advice. Okay, let's touch on Mind Emulation Foundation, because I feel like it's an important precursor to Rewind AI. You went through YC in winter 2018, eight years later.

Dan: That's right. I started the Mind Emulation Foundation to try to fund and conduct scientific research to produce this really crazy idea. I'll tell you right now, it's a crazy idea. The idea is to understand what makes you you. Most people think, what makes you you is your body, but one could argue that what makes you you is an emergent property of your body, which is your mind.

If we are able to emulate your mind in a non-biological substance, something digital, for example, one could argue that that is you. Obviously, it's very hard to do. It might require you to do it maybe upon your death, because there's a lot of physical structure in your connectome, the comprehensive set of connections in your nervous system, but that was the idea, like, "Let's pursue this crazy moonshot idea, try to fund science. There's work being done at Harvard and Google around this idea."

I started this nonprofit really to try to do that. In fact, one of the first things I did was set up this MRI machine in my house using the earth's magnetic field. I had this crazy idea, and if somebody ends up doing this, you should steal this idea. My wife thinks this is the dumbest idea I've ever had, but it's bed MRIs. It's a quiet MRI that you sleep in at night that uses the earth's magnetic field to scan your body over the hours you're sleeping, and basically not doing anything, to try to build a comprehensive set of connections of your brain while you're sleeping. Anyway, that's...

Carolynn: Is it tiny, though? Is it tiny and claustrophobic?

Dan: No. No. The one I built, the tube is about the size of an orange, and so that's what you're able to scan is about an orange.

Carolynn: Oh, okay. Okay.

Dan: It's quiet, because it uses earth's magnetic field. There's a bunch of reasons why that approach wasn't feasible, but it made me think, oh, there's some really basic science we could do here. I went to this neuroscience conference, and realized there's so many brilliant neuroscientists who love this idea but could never pursue it, because it's kind of like you're touching on all these kind of weird, ethical, social, philosophical, moral questions, where neuroscience is really surprisingly very little about science, and more about just that last little well-funded brain disease, kind of clinical stuff.

A lot of people want to do the basic science. Anyway, long story short, I did that, and then one of the neuroscientists I met was at Stanford, and he was kind of skeptical of this idea, like how it would work he asked me a question that I just couldn't get out of my head, which was, "Let's say you could do this. Let's say you had an emulation of you that is a non-biological version of you. Maybe it's in the cloud, wherever. How would you, Dan, be sufficiently satisfied that this was an emulation of you, once this existed?"

That got me wondering, how would you do error correction? How would you verify it? How would you have a personalized Turing test to know this is you? Then I thought, well, hey, while you're still alive, wouldn't it be great to start collecting everything you've

seen, said, or heard, so that one day, maybe that could be useful in helping create an emulation? At minimum, would be helpful in doing error correction and validation.

That's sort of what got me on the seed of an idea that turned into Limitless today, which is this idea of how do you verify an emulation down the line, if it were possible to do that?

Jessica: All right, let's talk about Rewind, then, because there's a lot we gotta get through here. Did you say, "I love what I'm doing on the nonprofit, but I think there's a for-profit idea within this?" How did that come about?

Dan: Yeah, the idea for Rewind, it actually started with this idea of how do we capture more things? It wasn't even the Rewind. It was just like, there are things while we're alive that we forget. In fact, I read a paper around memory, and realized that we forget a lot. Most people forget 90% of what happens after one week. If you're in a weekly team meeting, you remember at best six minutes of an hour long meeting a week ago. That was like, "Whoa, that's a huge problem."

It was weird, because it's the same kind of problem that my hearing was, which is you don't realize how bad it is until you get it back. My hearing, I sort of was in denial. I was like, "Oh, maybe I can hear, maybe I can't." Billions of people are like that, by the way. They're not quite sure they have poor hearing until they get a hearing aid. Memory was like that. I thought, ha, there's a thread here. There's a problem we're solving, which is around memory. We started with this meeting bot to transcribe meetings.

This was like March, 2020, everyone's in Zoom. Then we pivoted to this Rewind idea, which was capturing things on your screen, so capturing what you see on your screen, doing OCR on your screen, optical character recognition, ASR on your voice and audio. We learned from that, actually, this really big insight, which is, wow, if you are able to offer privacy and convenience, you can actually get people to do something they wouldn't do otherwise.

Facebook, I think, did a huge disservice to the world by making people think there's a choice, and having to choose between privacy and convenience. If you use Facebook, you are the product, but if we can deliver on both, you can actually unlock a whole set of behaviors people would have otherwise not have considered. Rewind, it's stored all locally, and everything you capture, we don't have access to. It's stored on your machine. Then for the last few months, we found the same model can be worked in the cloud.

We have this thing called the Confidential Cloud where your data is protected from the government, it's protected from our cloud provider. We've brought all of these things to really basically offer the same guarantees of a local app, but with the convenience of being in the cloud. That's how we got to where we are today, which is the same idea. How do we capture everything you've seen, said, or heard indirectly, that's useful for, like I said at the beginning, for the context for large language models, but ultimately, one day, probably also very useful for mind imaging?



Jessica: What did you find was the most useful thing when you used Rewind?

Dan: For me, it was meetings. Often, I'm back to back meetings. I have three young kids, and I want to get home in time for dinner at five every night. If I can get just 15 more minutes in a day, I would pay a lot of money for that. What Rewind and now Limitless does, it preps me for meetings. Every meeting I have, it uses the context of my past to prepare me. Who's this person? Why am I meeting? Who introduced us?

It gives me maybe some interesting points to connect with that person, something they might have said to me in the past, or, "Hey, I remember you went to China last week, how was that?" And so I don't have to spend time prepping. During the meeting, I get live notes, and then afterwards, I get a summary. All of that basically just gives me back more time. I think it also lets me really focus on the person I'm meeting with. That's another thing I was noticing is that for me, taking notes is kind of a distraction.

If you're taking notes, you might remember the thing somebody just said, but you're going to forget the thing they're saying as you're typing or as you're writing. That's what I also wanted to build, and that's what Limitless offers is automated notes during a meeting, so you don't have to be distracted while talking to somebody.

Jessica: Dan, you needed this during the transition team with Obama.

Dan: Exactly. I'm solving the problem I wish I had. That would've been a perfect solution to this problem.

Jessica: Oh, my gosh.

Dan: I forgot my notebook. I built an app.

Jessica: Do you keep the data so that as AI gets smarter, it recompiles the data and gets even more clever about it?

Dan: Yeah, so we do persist the data as long as you want. That was also a big reason to move to the Confidential Cloud, is that people had been using Rewind now for several years, they actually start accumulating more and more data that can be used, you're ultimately limited by your hard drive storage. Limitless, aptly named, allows you to capture essentially unlimited data, and more and more people want to capture things that before weren't being captured.

That's why the Pendant really took off, I think, is because people have all these in-person conversations, and oftentimes, they may even have ideas in their head. We have this tagline on our website. It's a great way to capture unexpected strokes of genius. I think even PG talks about this, he'll go on a walk, he'll have this idea, and now he's just frantically trying to write it out. If you could just say it and utter it, and the Pendant captures it, you can capture that.

Maybe you use it, maybe you don't, but it's taking a part of your brain that before had to be so obsessed with trying to remember, and just relieving you of that stress. That's another big reason why we have this comprehensive view. You can store all this data, and then one day, well certainly, today, it's very valuable with large language models. Who knows what kind of amazing things this context will provide down the line?

Carolynn: Do you have a co-founder with Limitless?

Dan: Interestingly, I did another really nonconformist thing here. I actually have two co-founders, but they're both promoted from within. Two people who I hired, first was Brett Bejcek. He was our head of user research. Phenomenal individual, joined us, was basically doing co-founder work. He was doing everything that the company needed. I promoted him to co-founder, which was at the time kind of crazy. Then I did it again with Stammy, who actually was-

Jessica: Stammy!

Dan: ... In our winter 2010 batch. He was our head of design. Again, he was doing so many things for the company, he was really acting like a co-founder, so I promoted him to co-founder. I do think it's a novel idea. It's a much less risky thing to do because you know the person, you've been working with them for a while, they're already doing the job. That's the best way to promote somebody is when they're already doing the job you're promoting them to, it's much less risky to how it's going to work out.

Jessica: That's a bold move, though, Dan, because you can't really fire... It's harder to get rid of the co-founder.

Dan: Yeah, yeah, it is.

Jessica: They'll always be attached to the company in that way.

Carolynn: Yeah. Yeah.

Dan: That's where, in both cases, that was actually a litmus test for, is this person, I want to be the co-founder? First, would I ever fire them? No. Second, do I want them to be attached to the company in that way? Are they the kind of person, do they have the kind of culture, do they have the same values? That was unequivocally the case for both. Then I thought, well, I have no ego, I don't need to be the founder. I have no ego attached to that.

It's hard. We're going to have ups and downs, we're doing well, but some days, we're going to do poorly. I want co-founders with me to help even out those lows, to sort of be partners, to think through some of the biggest and hardest challenges we have going forward. To trade was easy for me. I'd rather make a bigger pie together than feel the need to have the ego associated as being the founder for our company.

Jessica: That's very smart.

Carolynn: Can I ask a boring legal question?

Dan: Yeah.

Carolynn: How do you deal with the privacy issue of having another person there, or many people?

Dan: Yes. Thank you for asking. Great question. We have about this for years. What we've built in part of Limitless, which by the way, you can use Limitless today. You don't have to have the Pendant. You go to Limitless.ai, you can try it. You don't have to sign up. What the Pendant will-

Jessica: Oh, because the Pendant comes out in August.

Dan: In August, yeah. The Pendant comes in August, but it'll be powered by the exact same tech that's available today.

Jessica: Okay.

Dan: What the Pendant will offer is something we call Consent Mode, which means it will only capture the voice of people who have verbally opted in to give consent. For example, you and I, we could all three of us be in a conversation. If I was wearing the Pendant, and we're just talking, and you were speaking, it would identify that your voice is different. It hasn't been heard before. It will have known that, by the way, this is a new voice. This is Jessica Livingston. I haven't heard this person. They have not previously given consent. Everything you say is not captured, it's not recorded.

If I say, "Hey, Jessica, is it okay if I record this conversation? It's important to me. I want to remember it," and you say, "Sure, no problem," that's a verbal opt-in. Now, just in the frictionless way, the Pendant knows, "Okay, now I can record Jessica going forward." This solves, I think, those social dynamics of getting consent, and especially in certain states where it's illegal to capture unless you have two party consent, this essentially solves that problem.

Carolynn: If the Pendant heard a voice that it already knew, and that person had already given consent, but this is a brand new conversation, brand new topic, will it ask again?

Dan: That's a setting that we can have, and we haven't really fine-tuned that. There's also certain settings where Consent Mode doesn't make sense. If you're listening to a podcast, you may want to capture it, and you can't ask a podcast for consent. In the mode would be, yeah, do you want to give consent indefinitely, or just for this conversation?

The idea is that we're offering this as a way for people who also, no one wants to eavesdrop, but they want to do the right thing, but the social dynamics are really important to get right. We think this is the perfect balance, where somebody seeing somebody else wearing a Pendant knows, "Okay, it's not a creepy device. It's something

that's helping me capture the conversation," especially when you realize we're going to forget the conversation.

I asked tons of people if they want to get recorded, and it's kind of flattering. It's like, "Yeah, Dan cares about this conversation. He wants to go back to it." I tell them, "It's important to me. My memory's not that great." I hope that changes people's hearts and minds around this technology when it's used for good, not for bad.

Carolynn: Yeah, the memory thing is really powerful. I have a terrible memory also, so it's a very compelling idea.

Jessica: My memory's gone down the toilet in the past five years, even. Yeah.

Dan: Yeah. Actually, people's memory peak when they're 20 years old and gets worse every year thereafter. The two of you are actually in a rare camp. I believe that actually, there's two kinds of people when it comes to memory. There are people who admit they have bad memory, and there are people who have bad memory and who don't admit it. They don't realize it. Actually, it's a big part of it. You don't realize, because if you can't remember it, you don't know what you don't know.

This was actually a big unlock from the hearing aid. Again, it's like, I didn't realize I couldn't hear until I got a hearing aid. Same thing. When you start using Rewind or Limitless, you start realizing, oh, if you go back to old conversations. The way you remember it, there's tons of examples of this in witness testimony, the way you remember it is way different than the actual substance of the recording. I do think it's a good thing for society that we'll have a better way to remember. We don't lose these things, just because time goes on.

Jessica: Carolynn, are you aware of the Series A fundraiser story that Dan did?

Carolynn: Oh. Well, I don't have the best memory. I might've heard it and I don't remember it.

Jessica: Oh, you'd remember this. You've got to tell this story because it's so novel. It's for the Series A for Rewind, right? What happened, Dan?

Dan: About a year ago, again, I don't know why I keep doing these nonconformist things, I should just play by the rules, but what I did was I had a bunch of people emailing me. They had heard that we had done well. We had this pre-seed or seed from Andreessen, so a lot of people were excited to invest. I just didn't want to meet with all these investors. At the same time, we were having lots of users who really love what we're doing, but they wanted to know, "Are we a growing concern?" Their biggest fear, "Would we get bought by Google?"

Now, all of this data is used to target ads. We wanted to do two things. One is to build trust with users, and hopefully multiple birds with one stone when it comes to investor meetings. What I did is I just made my pitch deck public. I took a seven-minute pitch of my Series A, I put it on Twitter. Actually, I remember debating this internally, and

people's biggest fear internally on our team, most people thought it was a bad idea. Again, it goes back to what I said earlier, confidence in my conviction.

My gut said, "We should just do this. What's the harm?" At worst, no investor's interested, and all of our users think, wow, this is so cool. This company's actually being transparent. That's going to build trust. My gut said, "Let's just put it out there and see what happens." We thought nobody would see it. It went viral, like two and a half million people watched it. We had thousands of offers to invest. I know you're probably going to ask about general solicitation.

Carolynn: Yeah, this is a general solicitation. Were you specifically at crowdfunding? What were you trying to do, what was your...

Dan: It's not crowdfunding. The thing is, the recent rules, well, it's actually not too recent, a few years back, they changed it so as long as whoever invests when there's a general solicitation is an accredited investor, then you can get around this issue. By the way, you have to go above and beyond to prove a credit. When it's a general solicitation, you have to do all kinds of paperwork to prove these are accredited investors. That's what we did is we did that.

Carolynn: Okay.

Dan: If you're going to do this, consult with your lawyers. It's definitely a lot more paperwork and headache to get this right. This was not crowdfunding, so we did not let anyone invest. You had to be an accredited investor. Anyway, we put it out, we had thousands of offers. In fact, I put up this form where you could submit how much you want to invest, and at what valuation. I had this beautiful curve of the distribution of valuations people gave us.

That actually gave me a great sense of the market price. I got a great investor, and then I didn't choose the highest price we got. I actually chose the investor who was the most long-term oriented. It was NEA, they invested at the IPO. They have 15 year fund life cycles, a great team. That was great. I actually cast a wide net, and that's how we ended up doing our Series A.

Carolynn: How many investors in total were in your Series A? Obviously, NEA led it, but who else was in there, or how many people were in there?

Dan: NEA led it, and then first round capital, Andreessen participated, they're our two other biggest shareholders, and then we did an RUV, a roll-up vehicle, with AngelList, which I highly recommend. I actually, we started doing this, and I was like, "What's the harm? No big deal. It's just one entry in the cap table." We almost got to the limit, the SEC limit on the number of investors. The answer to your question is, I think it was like 139, or sorry, 239 is I think the limit of accredited investors, and you get a special exemption for qualified purchasers, which is like 10 million more. Anyway, so about 200 or 250 or so investors in the Series A.

Carolynn: Okay, wow. Wow.

Jessica: You had never really met with NEA before. You did not have a relationship with them?

Dan: I did not, no. I had met them maybe for the Series A at Optimizely like 10 years ago, but the partner I'd met with had left. They're a great firm. I didn't think to go and reach out. In fact, I didn't really reach out to anybody for the Series A. I just put this out there. In fact, the way I did this was in some ways to try to select against the kind of board member I talked about earlier, which is the one that kind of wants to have all the answers and not all the questions.

You kind of have to swallow your pride to submit on an online form you're interested in investing. The worst version of Silicon Valley investors are the ones that want you to go up and down Sandhill Road, wait half an hour in their lobby, kiss their ring, and I just wanted to select them out. I didn't actually reach out to any investors. I just used this pitch deck. If they didn't see it, so what? I had plenty of people interested. NEA has this very humble, very founder-first mentality. They know that ultimately, the end of the success of the company is if the founder's going to be there 10, 20, 30 years.

We were just so aligned, and part of it was the process. I chose a process that selected out the ego-driven investor who wants you to come kiss their ring. I'm sure I'm going to piss people off by saying this. By the way, I've heard rumblings that the way I've done that fundraiser, and subsequently I've done other things, that kind of piss investors off. It has a little bit of an arrogance to it, but I feel like there's so few founders out there who can credibly do that.

There's so many investors who treat founders like second class citizens, that if there's anything you can do to even the odds, I feel like I have to do that on behalf of other founders, but maybe-

Jessica: I love this.

Dan: ... I'll regret that. We'll see.

Jessica: I'm sorry, Dan. I love this. VCs are so sensitive and have such big egos. I'm sure they hated this, so I'm glad you did that. It's crazy, though. It is crazy.

Dan: It is, it is.

Jessica: There's a crazy component to this that I heard. I was listening to, you were talking to someone on a podcast or something, and I heard you say, didn't you meet with a lot of associates during this process, and did you not sort of hone your pitch and get all the "dumb questions out of the way" in subsequent pitches as a result of talking to the associates? Not my words, yours.

Dan: Yeah, those are exactly the words I used. This is probably another thing that gets me to be quite unpopular with investors. There was, for a while, very recently there was, I

didn't weigh in on this, the whole Twitter debate on, "Do you talk to associates or not? Do they actually hold any power?"

Jessica: Yes, yes.

Dan: Yeah. This is before that. What I had done was because during this period of time, I was getting a lot of people reaching out, there's people whose full-time job is to reach out to founders. They look up on LinkedIn, former exit, former YC, former Google, whatever, and they just reach out blindly. They don't know much about the company, and normally founders just kind of ignore it, or maybe they take the meeting. I took it, actually, I said to those, this is before I did the public fundraiser.

I basically told them, "Hey, I'm focused on the product right now, not fundraising now, but if you're interested, I do one week a year, investor a week, here's my Calendly." I did this for months, and it was a Calendly that I'd set up to basically just be Monday through Friday of one week far into the distant future. I just set up back-to-back half an hour meetings. I think I did like 50 in a week. In those meetings, I would basically do the meeting, and I would just pitch. I had my deck.

This is what I ultimately, why I think the final presentation went kind of viral is I'd already honed it. Just like a standup comedian goes to the grungy kind of Wednesday open mic nights, I had sort of honed it with these associates. What's interesting is when you talk to an associate, who, by the way, most of them didn't do their homework, they had no clue who I was. They show up 10 minutes late to a 30-minute meeting, which drove me nuts. Their questions, if they ask a question, and it wasn't clear immediately for somebody who's at an associate level, then I knew that that's something I need to improve in the deck.

I basically kept doing this sort of standup routine, where I kept going through these meetings until the end, where then the associate's like, "Great, okay, cool. Can I set up a time with our partner or whatever?" I just got through every single dumb question, and there's no such thing as a dumb question, but it just showed, if you got it crystal clear for that person, it's going to be a slam dunk when you're going to pitch final partners meeting with 10 partners who are scrutinizing every little detail.

Jessica: Yeah.

Dan: I would say the lesson there is to treat fundraising and to treat pitching very much like a standup comedian would treat their set. You want to make sure you're very concise, hone every word. By the end, it was a seven-minute pitch where I got through everything. Less is more. That's something I've found very clearly is that fewer slides are better. The best thing you can do when you get hung up on a particular slide, just delete it or move it to the appendix.

I ended up having a seven-minute pitch with 200 slides of appendix for every question that came up. Oftentimes, you kill your darlings and just focus on the core thing. You can

watch it now, the seven minutes are still up on Twitter with just the best of the best. All of the jokes that didn't work, I cut.

Jessica: Who was the most clever associate that you met with?

Dan: I think NEA, actually. There's a team there. NEA is a team, but there's a particular person, I don't know if she was an associate, but she was, I think, early in her venture career, Jess, and she really got it. She actually sent ahead of our meeting, this is something that really shows a founder that you're interested, ahead of the meeting. She sent me a PDF, a presentation that they had made about why Rewind and NEA were a perfect fit for another.

They went into excruciating, without even really meeting me, frankly, they went into excruciating detail about their long-term orientation. They understood our product led growth model, and clearly had just done their homework. It really was just they put hours in to understand the business, which tells me, when you're taking venture funding, oftentimes you're evaluating somebody based off of how they're performing in that courting phase. You have to imagine, that's going to be the best it's going to be.

After they've invested, they don't have to spend... If they're putting their time and energy then, they're going to put their time and energy in later. That's something that also really impressed me was Jess at NEA.

Carolynn: Do you think about what your Series B is going to be like, with all of the interesting things you did for the A?

Dan: I have. In fact, this is another thing that pissed off investors. By the way, my wife's going to hate that I mentioned all this. She thinks I should just be nicer. Another thing I did was, again, a few months ago, I started getting investors reaching out again. I don't know if they have a thing or whatever and they're like, "Oh, this company seems to be doing well," or whatever, but I probably shouldn't have done this.

What I also did was I said, "Hey, I'm open to meeting, but to meet, here's the Calendly link, and to meet, you're going to have to pay \$100, which we'll donate to the Boys and Girls Club of Oakland and build. By the way, our last valuation was 350 million, this is," blah, blah, blah, blah, so really qualified people. Actually, in two days, I did this months ago, in two days, I'm going to have all those meetings. I have back to back meetings again. Who knows? Maybe that turns into a Series B.

We haven't even started spending our Series A money, so we have three years of runway. I don't know why I am wasting my time meeting with investors, but we'll do it. We'll see how it goes.

Jessica: Did anyone-

Dan: At worst, it'd still be a good donation.



Jessica: Did anyone drop off due to the extra steps like making a donation?

Dan: Oh, yeah, yeah, yeah. There's people whose full-time job is to just reach out to founders. Also, by the way, I don't think they have the budgetary ability to spend \$100. I don't know. If they're not going to spend \$100, spend half an hour time, it's not that much for a venture capitalist, then they're not a good fit.

Yeah, so a lot of people dropped off, but the people who ended up, now I look at this list, these are people, very impressive investors who clearly care. Yeah, we'll see how it goes. I'll let you know in a week. We don't need to raise, I don't know why I keep talking to investors. We still have three years to go.

Carolynn: Well, I asked the question because it seems like this, the way you're talking about it, it was such an interesting experience. It's a great anecdote and I'm thinking, you must be thinking already about how you're going to change things for your Series B and what creative thing you're going to do. Yeah, but it sounds like you have a while to think about that.

Dan: Yeah, yeah.

Jessica: Will Limitless, is the idea to have a second brain in a way?

Dan: Yeah, it is. Limitless is, in many ways, a second brain. The way to think about that is there's so many things you do in your day, I mentioned a few of them earlier, that you really don't need to do, like drafting an email to somebody to catch up. That's a good example. Drafting, actually, generally, I think is a great use case for AI right now, because there's a fear that AI will replace you or do things autonomously. There's some gadgets out there to say, "Order me DoorDash, or get me an Uber."

Even then, if it gets it wrong, that's pretty bad. The semi-autonomous work that an AI can do, like drafting a note, going from writing something from a blank piece of paper to starting with 75% is so different. Those are the things that an AI can do for you really well using the context of your past. That's our solution. We think ultimately, marrying the best context, the history, the things you've seen, said, or heard, with the power of large language models that are only going to get better, and as Sam has recently said, there's no end in sight, we think that's going to help be a second brain for you.

It'll take away all the things you don't want to do, in the same way, I'll give you an analogy, in the same way that 15 years ago, if you wanted to go someplace, you had to know cross streets. You had to know how to get from A to B. You couldn't just put the destination into your phone and start going. Do you miss remembering cross streets? I don't know. I don't think that's part of your brain that you need to occupy.

Carolynn: No.

Dan: Now, the thought of going back, that's the other thing. We're on this hedonic treadmill. The thought of going back to that would be ludicrous. I think that the same thing will be

true of how AI can play a role in our lives, augmenting our intelligence, not replacing it. That's what our belief is. We really want to free the human mind from its biological limits and augment our capabilities with AI.

Carolynn: I love it. Can I ask one more boring legal question, but it's just so interesting to me. You said that the Confidential Cloud is going to be protected from the government, but how do you know that?

Dan: Yeah, so this is all by design. We're not doing it by... If you go to our website, we have eight claims around your data. Your data's encrypted, it's anonymized, it will never be sold. It's legally protected. There's two legal protections from the government. One is the Fifth Amendment. Our customers are users, they're not businesses. They have a Fifth Amendment protection from performing the act of producing incriminating documents. That's the first legal protection.

The second is the way it's encrypted. We don't have a way as a company of exporting the encryption key for the actual data that you have stored, which means you can use our product and our service to get access to your data, but if the government subpoenaed us, we would only hand data to them that's un-encryptable, or un-decryptable, I should say. That ultimately means that your employer, the government, even if you're compelled, you ultimately have protections that prevent anything that you might capture with the things you've seen, said, or heard from coming back and hurting you down the line.

This had to be built in by design. Actually, a good case law here is the, I don't know if you remember the San Bernardino shooter-

Carolynn: I do.

Dan: The government tried to compel Apple to write code to decrypt essentially their phone, and it was very clear. In fact, our lawyers at Wilson Sonsini, the person who I consulted with on this topic, was the federal prosecutor trying to get Apple to do this. He's the exact person who gave me this advice.

Carolynn: Wow. No kidding.

Dan: We realized that, wow, if we use that same model, and Apple has actually been a huge proponent, and I really give them a lot of appreciation for this, they have made sure that there's no precedent in law that would compel a tech company to change their code to expose data. Basically, as long as that stays true, which I think it will, there's lots of constitutional reasons why, then ultimately, the government can't enforce us or force us to change our code. Therefore, the data that we might get subpoenaed for is undecryptable. All of those things are what make Confidential Cloud so safe.

Carolynn: Yeah, I was actually thinking about that San Bernardino shooter and that iPhone, and I realized, I just assumed that Apple prevailed, but I didn't really know, but I'm glad to hear they did.

Dan: They did, yeah. They prevailed, again, much to the chagrin of this guy who now works at Wilson Sonsini, who was giving me advice. I asked him basically, "Can the government compel us to change our code?" He said, "Well, let me tell you why you can't and why I had such a hard time arguing."

Carolynn: That's a long story.

Dan: Yeah, I think even that was even dismissed with prejudice or something. They couldn't even, it was very clear-

Carolynn: They couldn't even come back.

Dan: ... There's a line. Yeah, there's a very clear line that the government cannot compel a tech company to change their code, essentially.

Carolynn: Change the code. Wow.

Dan: They can get data. Even that data, by the way, is anonymized. We would have a very hard time. We got a subpoena and it says, "Give us all the data on this user," we'd say like, "Hey, here's the data we have." We might have when they logged in, but their underlying data is anonymized even to us.

We have all these protections in place to make sure that, again, we don't think people will use us for nefarious purposes, but if we're asking them to trust us, to capture all these things they would've otherwise not captured, then we think it's really important to do this in a privacy first way.

Carolynn: Oh, yeah. For sure. Thank you for answering that.

Jessica: We have to wrap up pretty soon, but I want to ask you about being a CEO and startup founder with three kids. You said you wanted to make it home by five o'clock to have dinner with them. Tell us some of your tips.

Dan: I have, again, an amazing AB test here. I did my first company, 2010, no kids. I was working insane hours. Basically, I made up for lack of prioritization with just sheer hours. Now, I look back at that experience, and here's the benefit I have of hindsight is that so few of the things I worked on actually mattered. It was like, three or four things that really mattered in terms of the trajectory of the company. It's not like a thousand small things. It's not the networking dinner you went to.

It's a few things that actually changed or had an impact on the company. You don't know at the moment what those things are. In hindsight, you do, but in the moment, you don't. I realized this company, I have three young kids, the key thing to try to do is make sure that the two or three things I focus on are the most important things, and that will actually ultimately lead to the success of our company. I have this saying that I think Stephen Covey said long ago, which is, "The main thing is that the main thing should stay the main thing."

I constantly tell myself this, and I really thought, what is the main thing? Is it really important that I do things three through 10 on my to-do list, or three, things one and two really, really well? With that focus, I just cut a lot out. There's a lot of things, that's true of both my work life, there's so many things most founders at my stage would go do. They'll go speak at fancy conferences, and build up their ego. I don't do any of that stuff. I really focus on product, I focus on having the best impact I can on cutting scope, what matters when it comes to product.

Then I also, by the way, and this may sound sad, but I cut out a lot of stuff in my personal life that aren't really the main thing for me. I don't spend a ton of time with friends. I don't have a ton of hobbies. Even without that, I'm happier than I've ever been. I'm so fulfilled by my work and by my family that I realize the main thing is the main thing. The main thing for me is how do I be a great father, a great husband, and a great founder? If those are the three things you focus on and you cut everything else, I think it's very doable.

Jessica: I love it. That's great advice.

Carolynn: Good advice.

Jessica: Awesome. Well, I loved catching up with you on today's show, and I learned a lot of things that I didn't know. I think it's going to be a great episode.

Carolynn: I am super interested in Limitless, and I have to confess to you, I was sitting here, thinking, I wonder if he considered Limitlessly with the whole L-Y, a lot of Ls there.

Jessica: Good one, Carolynn.

Dan: No, no, we did not try Limitlessly, no.

Jessica: That's so 2010.

Carolynn: It's so 2010.

Jessica: I also would like a Pendant. I want to sign up for a Pendant when they come out. Hot pink.

Carolynn: How big is it? What's the size?

Dan: Yeah, the Pendant is very small. It is about the size of a little bit more than a quarter. It's about 30% smaller than all the other AI wearables.

Jessica: It's like a macaroon, C. Levy.

Dan: It's a macaroon, yes.

Carolynn: Okay. It's bigger than a Lavalier.

Dan: Yes, it's a little bit bigger, and we have eight beautiful colors, but I'm happy to have some of the first ones off the assembly line make it to your house.

Jessica: I got to get one for PG for when he goes on his walks. He does take a lot of notes on his walks, and I feel like if he could just dictate what he's saying on his walk, that would be good for him.

Dan: That would be a dream come true. We hope we will deliver on that. It's got amazing audio quality, by the way. That's something we really focused on is being able to actually capture somebody in a crowded conference room across the table. It does something called Beamforming, so it can actually adjust the microphone directly to where the speaker is. My goal, I don't know how windy it is, where PG goes to walk, but-

Jessica: I was just going to say-

Dan: ... My hope is that-

Jessica: ... Will it hold up to the winds of the common that he walks on on windy English mornings?

Dan: Yes. We'll have to do a field test, come out there and test it out, but our saying is, "It's crystal clear audio, even in a crowded cafe."

Jessica: Love it. All right, well-

Carolynn: Sounds awesome.

Jessica: ... Hope to see you sometime. Hope our paths cross.

Dan: I do. Yeah.

Jessica: It was great having you.

Dan: Likewise.

Carolynn: Great to talk with you, Dan.

Dan: Yeah, thanks for having me. I'm a huge fan. I've listened to every episode. I got a lot from them too, so I really appreciate it. I'm honored to be a guest, and very much appreciate you doing this. It's so great for this whole startup community, and I certainly have gotten a lot of it, so thank you.

Jessica: Oh, I'm so happy. That made my day. Thank you, D Siroker, we miss you and we'll see you soon.

Dan: Thank you.

Jessica: Okay. Bye.

Dan: All right. Thanks. Bye.

Jessica: Oh, that was so much fun.

Carolynn: Yeah, he had so much interesting stuff to say. His whole startup journey has been pretty fascinating, and Limitless is just fascinating.

Jessica: I know.

Carolynn: So much to talk about there.

Jessica: There. I thought you'd be very interested in all the legal aspects.

Carolynn: The legal stuff is very interesting, but even more than the legal stuff, which is sort of an aside, just the idea that you can augment your brain or augment your memory, and memory is such a huge thing for me. I do feel like it started at age 20, it started to go bad for me. Probably not. I probably didn't think that at the time, but yeah, I talk about that all the time. It's depressing to forget all the cool stuff you learn and read. It's a bummer not to remember stuff.

Jessica: I know, or what about dumb things like, did I have fun on New Year's Eve 2003?

Carolynn: Yeah.

Jessica: What did I do? I don't keep a diary really.

Carolynn: No, I don't either. Exactly.

Jessica: I don't remember what I did.

Carolynn: You know what's funny is the way to augment your memory right now is to go back through your camera roll on your iPhone.

Jessica: Yes.

Carolynn: That's the only way you can remember stuff like that.

Jessica: Or your emails.

Carolynn: Or your emails, but that's a mess, and that's super hard to do. There's so much garbage in your email.

Jessica: I'm looking forward to the Pendant coming out in August. I really think I might try it. I'm not a wearable kind of person, but...

Carolynn: Me either. Yeah. I want you to do it and I want you to tell me what you think of it.

Jessica: Okay.

Carolynn: This would be something I would make an exception for if it really helps me remember cool stuff.

Jessica: All right, deal. Yeah, I'll do that.

Carolynn: All right, cool.

Jessica: Awesome, C. Levy. That was a really fun episode.

Carolynn: Yeah. Dan is energizing, he has great vibes. It's great to talk to him.

Jessica: I think he talks faster now than he did a decade ago.

Carolynn: Oh, well, I don't know.

Jessica: Actually, it's 13 years ago.

Carolynn: He definitely talks quickly, but he has a lot of great stuff to say.

Jessica: He really did. I learned a lot of interesting stuff and great advice for founders. I loved it.

Carolynn: Yeah, exactly. Exactly.

Jessica: All right. Well, I will see you next time.

Carolynn: See you next time. Bye.

Jessica: Bye.